Invest in clean growth. Stay selective on coal.

An industry investment outlook grounded in electricity and coal data.

CLEAN ENERGY

OVERWEIGHT

Diversified low-carbon generation

COAL

UNDERWEIGHT

U.S. domestic thermal focus

NOVEMBER 2026 → NOVEMBER 2029

Energy Transition Analyst Team

Clean grew faster.
Fossil output still increased.

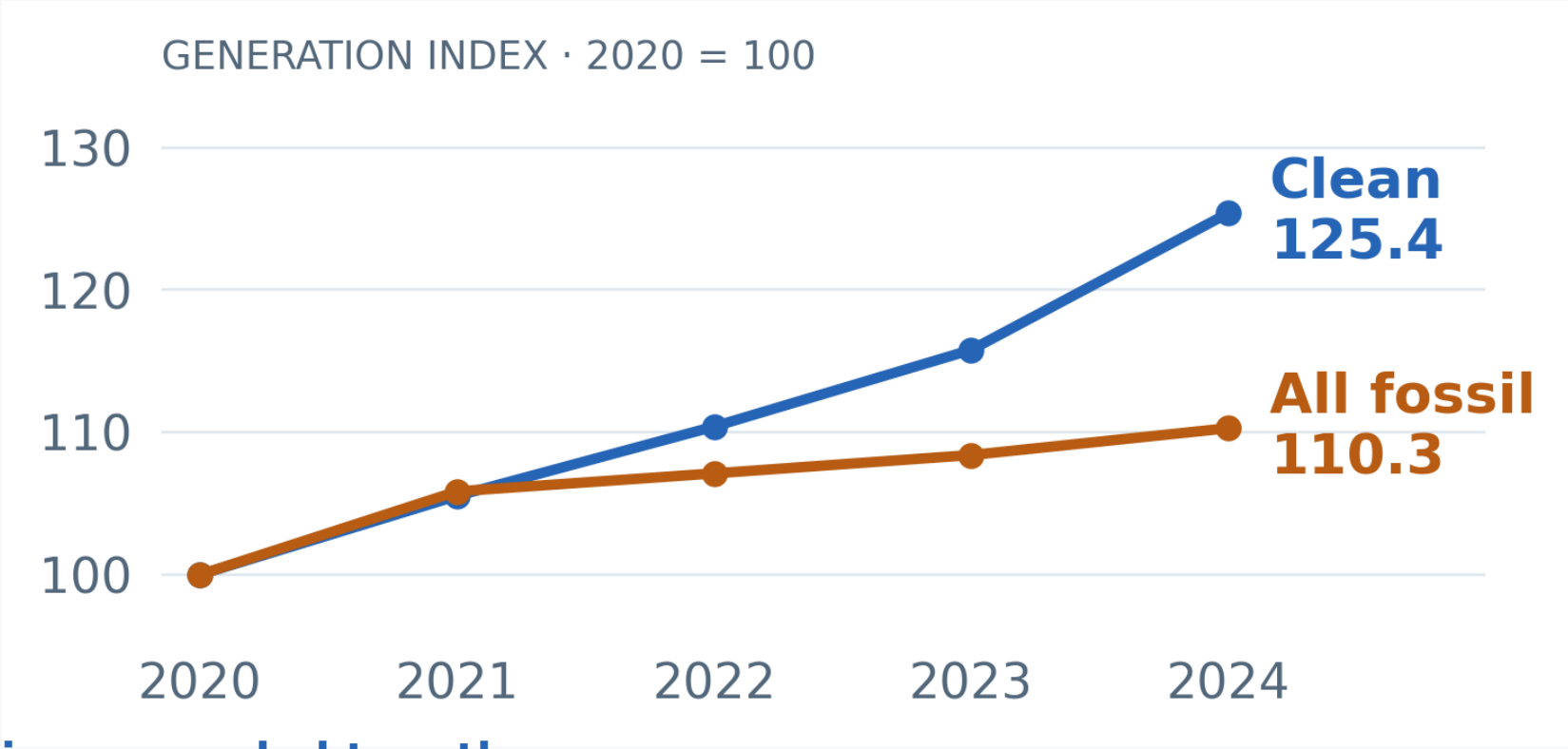
2020–2024 · the same 196 countries in every year

+25.4%

Clean generation

+10.3%

All-fossil generation



Clean and fossil generation expanded together.

Ember · fixed 196-country panel, 2020–2024 · E01–E02 · Clean = renewables + nuclear

The coal call needs a market context.

Three examples · clean and coal generation changes, 2020–2024

China

COEXISTENCE

Clean	**+50.9%**
Coal	**+18.4%**

Clean and coal expanded together.

United States

TRANSITION

Clean	**+14.1%**
Coal	**-15.6%**

Clean grew while coal generation fell.

Germany

DEMAND MATTERS

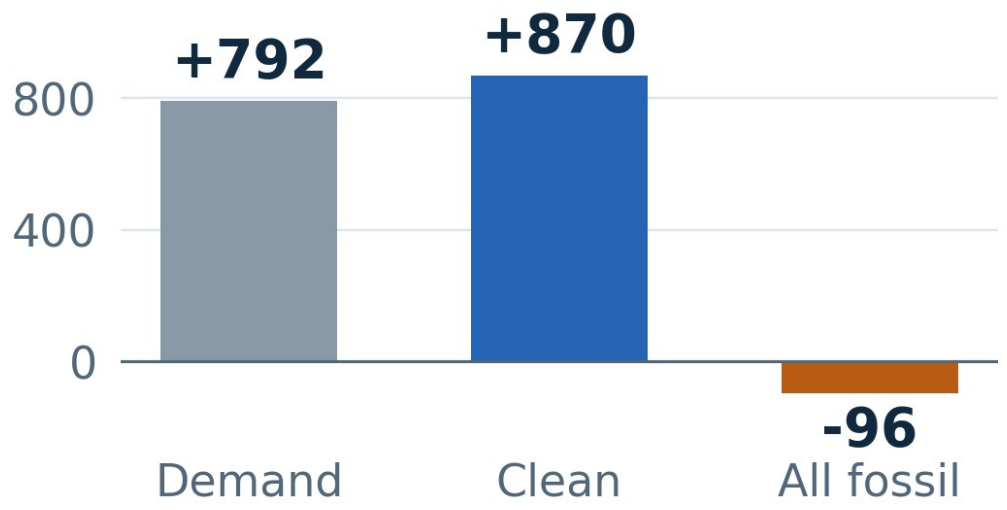
Clean	**-7.9%**
Coal	**-21.4%**

Demand also fell; coal decline alone does not establish substitution.

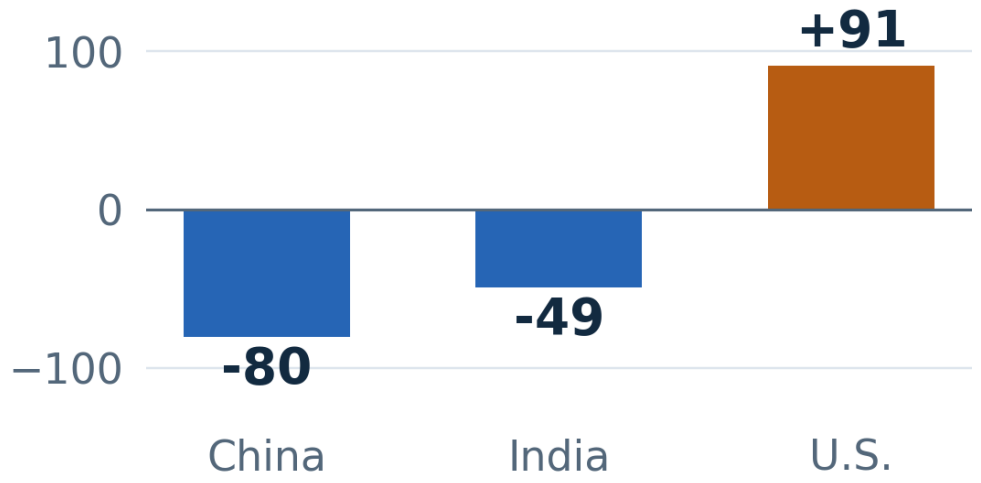
Similar changes in coal can have different investment implications.

2025 strengthened clean growth. Coal moved differently by market.

ELECTRICITY ADDITIONS · 91 COUNTRIES



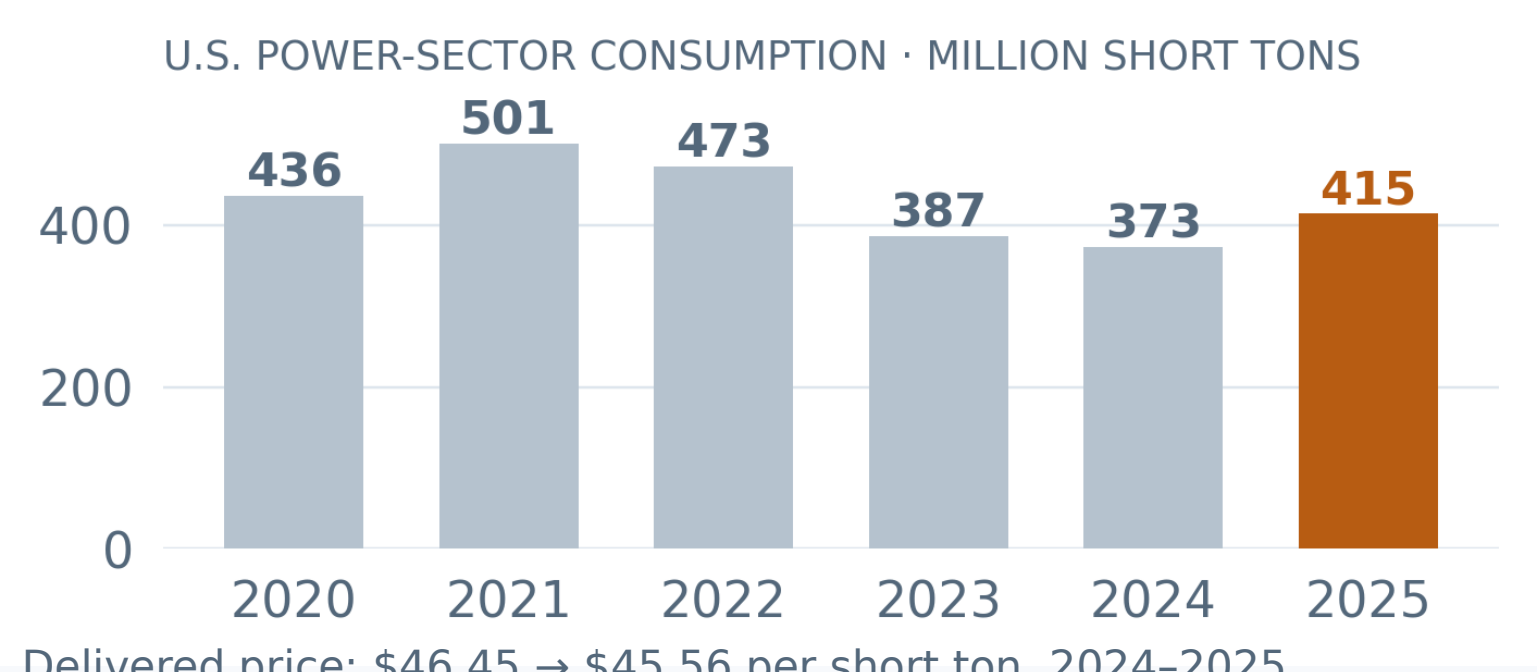
COAL GENERATION CHANGES · EI



Changes in TWh. The Ember sample represents 93.5% of observed 2024 extract generation, not the entire world.

The latest year supports clean growth and regional divergence.

The coal rebound is real. Persistence is the risk.



Delivered price: $46.45 → $45.56 per short ton, 2024–2025.

-14.4%

2020–2024 consumption

+11.3%

2025 rebound

A sustained rebound would challenge the U.S. coal underweight.

Allocate to clean growth. Focus the coal underweight.

OVERWEIGHT

Diversified low-carbon generation owners

Clean output expanded across different market conditions.

UNDERWEIGHT

U.S. domestic thermal-coal producers

Historical consumption declined; the rebound limits conviction.

Before selecting securities: valuation · project returns · financing

Industry growth guides the allocation; financial evidence must guide security selection.

What would change our view?

MONITOR	RECONSIDER WHEN…	RESPONSE
Coal recovery	U.S. consumption stays above 2024 for two further annual releases.	**Reduce the coal underweight.**
Clean momentum	Two comparable years without clean-share gains, alongside rising fossil output.	**Reassess the clean overweight.**
Investment economics	Weak project returns or financing pressure. Additional financial data is required.	**Review security selection.**

Data limits: changing coverage · source vintages · local EI download provenance

Use observable reversal conditions, and keep the data limits explicit.

Own clean growth.
Keep coal exposure selective.

OVERWEIGHT CLEAN ENERGY

Diversified low-carbon generation

UNDERWEIGHT COAL

U.S. domestic thermal focus

THREE-YEAR HORIZON | REVIEW THE POSITION AS THE EVIDENCE CHANGES